

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

ICA No.55195 of 2020

Fauji Fresh and Freeze Ltd.

Versus

Commissioner Inland Revenue & others

J U D G M E N T

Date of Hearing.	17-01-2024
APPELLANTS BY:	Mr. Khurram Shahbaz Butt, Advocate.
RESPONDENTS BY:	Mr. Shahzad Ahmad Cheema, Advocate.

Shahid Karim, J:-. This is an appeal under Section 3 of the Law Reforms Ordinance, 1972 and brings a challenge to the order dated 28.09.2020 passed by a learned Single Judge of this Court.

2. We have heard learned counsel for the parties and do not find any reasonable cause to sustain the impugned order which proceeds on an erroneous view of the amendment brought about through insertion of third proviso to section 114 (6) of the Income Tax Ordinance, 2001. The amendment was brought about by the Finance Act, 2015. The issue involved was relating to tax years 2010, 2012 and 2013. The application for revision of the assessment in respect of tax year 2010 was filed on 13.8.2015 whereas in respect of tax years 2012 and 2013 the applications were filed on 12.06.2015. The controversy turned on the retrospectivity of the amendment and as to whether the Commissioner was obliged to pass an order for revision of return before the expiration of 60 days for the date when the revision of date was sought. By the proviso it was laid down that where the Commissioner had not made the order of approval in writing for revision of a return within 60 days, the approval required under clause (ba) shall be deemed to have been granted by the

Commissioner and the conditions specified in clause (ba) shall not apply. The learned Single Judge while holding that the amendment was substantive in nature refused to apply it retrospectively. However, while doing so, the learned Single Judge fell in error by holding that “tax years prior to 2015 shall be excluded from its operation”. Clearly, the amendment did not have any reference to the tax years and was merely related to the powers of the Commissioner to decide the revision of return expeditiously and not later than 60 days. The amendment clearly applied to pending proceedings before the Commissioner and whether they related to the year 2015 or to prior tax years. Learned counsel for the respondents has not been able to rebut this proposition.

3. In view of the above, this appeal is **allowed** and the impugned order of the learned Single Judge is set aside. It is held that since the Commissioner did not decide the revision of return of the appellant before the expiration of 60 days, it shall be deemed to have been granted by the Commissioner.

(RASAAL HASAN SYED)
JUDGE

(SHAHID KARIM)
JUDGE

Approved for reporting.

JUDGE

JUDGE

★

Rafiqat Ali